

Which of the statements given above is/are correct?

- (a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

I.A.S. (Pre) 2007

Ans. (a)

The Financial emergency is declared under Article 360 by the President if he is satisfied that a situation has arisen whereby the financial stability or credit of India or any part of its Territory is threatened. The Proclamation shall cease to operate at the expiration of 2 months unless before the expiration of that period it is approved by resolution of both the Houses of Parliament. Thus, Statement 1 is correct. During financial emergency, the President can direct the States to reduce the salaries and allowances of all or any class of persons serving in connection with affairs of the State. The President can issue directions for reducing the salaries and allowances of Judges of the High Courts and Supreme Court as well

36. Which of the following is/are the consequence (s) of invoking Article 360, declaration of a financial emergency?

1. The President may order the States to reduce the salaries and allowances of all or any class of employees serving in connection with the State affairs.
2. Money Bills or other financial bills passed by the State Legislature are not required to be reserved for the consideration of the President.
3. The President can issue directions for the reduction of salaries and allowances of all or any class of employees serving in connection with the affairs of the Union, including the Judges of the Supreme Court and the High Courts.
4. Money Bills or other financial bills are to be reserved for the consideration of the president after they are passed by the Legislature of the State.

Select the correct answer using the codes given below.

- (a) Only 1, 3 and 4 (b) Only 2
(c) Only 1 and 2 (d) All of the above

69th B.P.S.C. (Pre) 2023

Ans. (*)

According to the Article 360, the Statements 1 and 3 are absolutely correct. But, under this Article Money Bills or other financial Bills may be reserved for the consideration of the President (if he directs so) and they are not necessarily required to be reserved. Therefore, neither Statement 2 nor Statement 4 is absolutely correct. The said bills may be required by the President to consider it, is not necessarily required.

37. Which one of the following Articles of the Indian Constitution has not so far been used?

- (a) Article 60 (b) Article 352
(c) Article 356 (d) Article 360

U.P. Lower Sub. (Mains) 2015

U.P.P.C.S. (Mains) 2016

Ans. (d)

Article 360 of the Indian Constitution which deals with the provision of financial emergency has not been used so far in India.

38. How many times has Financial Emergency been declared in India so far?

- (a) 5 times (b) 4 times
(c) Once (d) Never

U.P.P.C.S. (Pre) 2006

Ans. (d)

The Financial Emergency (Under Article 360) has never been declared in India so far.

39. Who said, "The emergency power of the President is a fraud with the Constitution"?

- (a) K.M. Munshi (b) B.N. Rao
(c) K.M. Nambiar (d) H.N. Kunjaru

U.P.P.C.S. (Spl) (Mains) 2004

Ans. (c)

K. M. Nambiar, while opposing provisions related to the President's Rule in the States, mentioned that the "Emergency power of the President is a fraud with the Constitution."

The Finance Commission

*Article 280 of the Constitution provides for a Finance Commission which is constituted by the President of India every fifth year or at an earlier time that he considers necessary.

*The Finance Commission is required to make recommendation regarding the distribution of the net proceeds of taxes to be shared between the Centre and States, the allocation between the States of the respective shares and the principle that should govern the grants-in-aid to the States by the Centre. *First Finance Commission was constituted vide presidential order dated 22 November, 1951 under the chairmanship of Shri K.C. Neogy on 6th April, 1952. *The chairman of the 14th Finance Commission was Shri Y.V. Reddy. *14th Finance Commission recommended an increase in the share of states in the net proceeds of taxes to **42 percent** from the then existing **32 percent**. *The recommendations of the 14th Finance Commission was enforced for the period of five years (2015-20). *15th Finance Commission was constituted under the

chairmanship of **N.K. Singh**. *The tenure for the enforcement of recommendation of the 15th Finance Commission was from the year 2020 to the year 2025 but the commission submitted two reports - the first report consisted of recommendation for the financial year 2020-21 and the final with recommendation for 2021-26. *The sixteen finance commission was constituted on 31st December, 2023 with under **Arvind Panagariya** former Vice-Chairman, NITI Ayog. *State **Finance Commission** is a **constitutional body**. *The Finance Commission constituted under Article 280(1) consists of a chairman and four other members appointed by the president.

1. Generally, in India Finance Commission is appointed for every five years-

- (a) To determine the financial position of the States.
- (b) To determine the financial position of Central Government.
- (c) To determine the financial resources of Central Government.
- (d) To determine the share of the States in the grants and revenues of the Central Government.

U.P.U.D.A./L.D.A. (Pre) 2002

Ans. (d)

Article 280 of the Constitution provides for the formation of the Finance Commission after the expiration of every fifth year or at such earlier time as the President considers necessary. Its main function is to submit recommendations to the President regarding the allocation of net proceeds of taxes between the Union and the States and the method of distribution among the States. It may be mentioned that the first Finance Commission was set up on 6th April, 1952 under the Chairmanship of K.C. Neogy.

2. Which of the following Article is related to the appointment of a Finance Commission by the President of India?

- (a) 200
- (b) 250
- (c) 280
- (d) None of the above

U.P.R.O./A.R.O. (Mains) 2021

Ans. (c)

See the explanation of the above question.

3. With reference to the Finance Commission of India, consider the following statements

- 1. The Finance Commission is a statutory body
- 2. The finance Commission was set up under Article 280 of the Constitution
- 3. The recommendations made by the Finance Commission are only advisory in nature.
- 4. The First Finance Commission was set up in 1950.

Which of the above statements are correct?

- (a) 1 and 4 only
- (b) 3 and 4 only
- (c) 2 and 3 only
- (d) 2 and 4 only

67th B.P.S.C. (Pre), 2021

Ans. (c)

See the explanation of the above question.

4. Under which one of the following Articles is the formation of Finance Commission laid down?

- (a) Article 280
- (b) Article 269
- (c) Article 268
- (d) Article 265

B.P.S.C. (Pre) 2018

Ans. (a)

See the explanation of the above question.

5. Financial distribution between the Union and the States takes place on the basis of the recommendations of the –

- (a) Finance Commission
- (b) Inter-State Council
- (c) Planning Commission
- (d) Sarkaria Commission

Uttarakhand P.C.S. (Pre) 2002

Ans. (a)

See the explanation of the above question.

6. Finance are distributed between the Centre and the State on the recommendations of which of the following?

- (a) Planning Commission
- (b) Public Accounts Committee
- (c) Finance Commission
- (d) National Development Council

U.P. Lower Sub. (Mains) 2013

U.P. Lower Sub. (Spl) (Pre) 2010

Ans. (c)

See the explanation of the above question.

7. Which of the following recommends the principles for sharing of revenues among the Union and the States?

- (a) Finance Commission
- (b) Inter-State Council
- (c) Union Ministry of Finance
- (d) Planning Commission

I.A.S. (Pre) 2002

Chhattisgarh P.C.S. (Pre) 2003

Ans. (a)

The function of the Finance Commission is to recommend the distribution of the net proceeds of taxes between the Union and the States; the Inter-State Council is established for coordination and cooperation among states, and the main function of the Planning Commission is to allocate resources between the Centre and the States. The Planning Commission has been replaced by 'Niti Aayog' (National Institution For Transforming India).

8. Which one of the following institutions will lay down the basic principles for the distribution of the net proceeds of the taxes between the Union and States?

- (a) Planning Commission
- (b) National Development Council
- (c) Finance Commission
- (d) Union Ministry of Finance

U.P.P.C.S. (Spl) (Mains) 2008

Ans. (c)

See the explanation of the above question.

9. Finance Commission is constituted after every –

- (a) 3 years
- (b) 2 years
- (c) 5 years
- (d) 4 years

U.P.P.C.S. (Mains) 2008

Ans. (c)

See the explanation of the above question.

10. The Finance Commission is constituted for a period of–

- (a) 4 years
- (b) 5 years
- (c) 7 years
- (d) 10 years

U.P.P.C.S (Mains) 2011

U.P.P.C.S. (Mains) 2010

Ans. (b)

See the explanation of the above question.

11. Given below are two statements one is labelled as Assertion (A) and other as Reason (R):

Assertion (A): The President of India determines the qualifications of the Chairman and Members of the Finance Commission.

Reason (R): Chairman and members are appointed by the President of India.

Select the correct answer using the codes given below.

Codes:

- (a) Both (A) and (R) are true and (R) is correct explanation of (A)
- (b) Both (A) and (R) are true, but (R) is not correct explanation of (A)
- (c) (A) is true, but (R) is false
- (d) (A) is false, but (R) is true

U.P.P.C.S. (Pre) 2021

Ans. (d)

According to Article 280(1) of the Indian Constitution, the finance commission consists of total 5 members (Chairman and 4 Members) in commission. As per the finance commission

(miscellaneous provisions) Act, 1951, the chairman of the commission is selected from among persons who have had experience in public affairs and the four other members are selected from among persons who–

- (a) are, or have been, or are qualified to be appointed as Judge of a High; or.
- (b) A person who has specialised knowledge of finance and accounts of the government; or.
- (c) A person who has wide experience in financial matters and in administrations; or.
- (d) A person who has special knowledge of economics. It is not necessary that at least one member of commission must be Judge of High Court or Supreme Court. As per Section (6) of this Act, the **Chairman of the Commission** can be reappointed. K.C. Neogy was first chairman of the finance commission.

12. What is/are true in reference to the Finance Commission?

- (i) There are total 5 members in Commission
- (ii) At least one member of Commission must be Judge of High Court or Supreme Court
- (iii) The Chairman of Commission cannot be reappointed
- (iv) First Chairman of Commission was K. Santhanam
- (a) (i), (ii) and (iv)
- (b) (i), (ii) and (iii)
- (c) (i) and (iii)
- (d) Only (i)

Chhattisgarh P.C.S. (Pre) 2021

Ans. (d)

See the explanation of the above question.

13. With reference to Union Finance Commission, which of the following statement/s is/are correct?

- (1) Finance Commission has a Chairman and six members.
- (2) It submits its report to the NITI Aayog.

Select the correct answer using the code given below :

Code :

- (a) Both (1) and (2)
- (b) Only (2)
- (c) Neither (1) nor (2)
- (d) Only (1)

U.P.P.C.S. (Pre.) 2023

Ans. (c)

According to Article 280(1) of the Indian Constitution, the President shall, within two years from the commencement of this Constitution and after that the expiration of every fifth year or at such earlier time as the President considers necessary, by order constitute a Finance Commission which shall consist of a Chairman and four other members to be appointed by the President Further. According to Article 280(3) of the Indian Constitution, it shall be the duty of the Commission to make recommendations to the President. So Neither Statement (1) nor (2) is correct. So, option (c) is the correct answer.

14. Consider the following statements:

The function (s) of the Finance Commission is/are –

1. To allow the withdrawal of the money out of the Consolidated Fund of India.
2. To allocate among the States the shares of proceeds of taxes.
3. To consider applications for grants-in-aid from States.
4. To supervise and report on whether the Union and State Governments are levying taxes in accordance with the budgetary provisions.

Which of these statements is/are correct?

- (a) Only 1 (b) 2 and 3
(c) 3 and 4 (d) 1, 2 and 4

I.A.S. (Pre) 2003

Ans. (b)

According to Article 280(3) of the Constitution, the main functions of the Finance Commission is –

- (1) To recommend the distribution of the net proceeds of taxes between the Union and the States.
- (2) To determine the principles which should govern the grants- in-aid of the revenues to the States out of the Consolidated Fund of India.
- (3) To suggest the necessary measures to increase the Consolidated Fund of the State for the development of Local bodies in the state on the basis of recommendations made by the finance commission.
- (4) Any other matter referred to the Commission by the President in the interest of the sound financial administration.

It is the function of the Parliament to allow to withdraw from the Consolidated Fund of India. It is the task of the Finance Ministry to oversee whether the Union Government and the State Governments are collecting taxes according to the provisions of the budget or not. Thus only statement 2 and 3 are correct.

15. The main functions of Finance Commission is –

- (a) To determine the part of States in central taxes and to determine the principles of financial aid given by the Centre to States.
(b) Financial control over States
(c) Financial control over Central
(d) None of the above

U.P.P.C.S. (Pre) 1993

Ans. (a)

See the explanation of the above question.

16. The Finance Commission is primarily concerned with recommending to the President about –

- (a) The principle governing grants-in-aid to be given to the States.
(b) Distributing the net proceeds of the taxes between the Centre and the States.
(c) Neither (a) nor (b)
(d) Both (a) and (b)

U.P.P.C.S. (Pre) 2006

Ans. (d)

See the explanation of the above question.

17. With reference to the Finance Commission of India, which of the following statements is correct?

- (a) It encourages the inflow of foreign capital for infrastructure development.
(b) It facilitates the proper distribution of finances among the Public Sector Undertakings.
(c) It ensures transparency in financial administration.
(d) None of the statements (a), (b) and (c) given above is correct in this context.

I.A.S. (Pre) 2011

Ans. (d)

Under Article 280(3) of the Constitution, the Finance Commission of India gives its suggestion in the following cases:

- (1) Distribution of receipts of federal taxes between the Union and the States;
- (2) Under Article 275 aid in the revenue of the States; and
- (3) Any further topic about which the President will recommend to the Commission in the interest of economy.
- (4) The measures needed to augment the consolidated fund of a state to supplement the resources of the Panchayats and the municipalities in the state based on the recommendations made by the State Finance Commission.

18. Federal Finance Commission in India relates to –

- (a) Finances among the States
- (b) Finances between States and the Centre
- (c) Finances between the Centre and Local Self Governments
- (d) None of these

43rd B.P.S.C. (Pre) 1999

Ans. (b)

The Federal Finance Commission in India is related to finances between the States and the Centre.

19. Who recommends the distribution of finance between Union and the States?

- (a) Ministry of Finance
- (b) Finance Commission
- (c) Reserve Bank of India
- (d) NABARD

U.P.U.D.A./L.D.A. (Pre) 2006

Ans. (b)

See the explanation of the above question.

20. Who was the Chairman of the Twelfth Finance Commission?

- (a) A.M. Khusro
- (b) K.C. Pant
- (c) Montek Singh
- (d) C. Rangarajan

Chhattisgarh P.S.C. (Pre) 2005 (*)

Ans. (d)

Article 280 of the Constitution of India makes provision for the formation of the Finance Commission after the expiration of every 5 years. Till now 15 Finance Commissions have been Constituted. The recommendations made by 12th Finance Commission were for the period of 2005 to 2010. Dr. C. Rangarajan, former Governor of the Reserve Bank,

was the Chairman of this Commission. The Finance Commission consists of 4 members other than the Chairman appointed by the President of India. 13th Finance Commission was set up in the chairmanship of Vijay Kelkar who submitted its report in 2010. Dr. Y.V. Reddy was the Chairman of the 14th Financial Commission (2015-2020). He submitted the commissions report on 15 December, 2014. The President causes every recommendation of the Finance Commission to be laid before each House of the Parliament.

21. After the commencement of the Constitution how many Finance Commissions have been constituted?

- (a) 10
- (b) 8
- (c) 9
- (d) 12

M.P.P.C.S. (Pre) 1999 (*)

Ans. (*)

On November 27, 2017 the 15th Finance Commission was constituted by the Government of India under the Chairmanship of N. K. Singh. The 15th Finance commission submitted two reports - the first report consisted of recommendations for the financial year 2020-21 and the final with recommendations for 2021-26. The 14th Finance Commission was formed in January 2013 under the Chairmanship of Y.V.Reddy.

22. Who was the Chairman of the 13th Finance Commission?

- (a) Indira Rajaraman
- (b) C. Rangarajan
- (c) Vijay Kelkar
- (d) None of the above

U.P.P.C.S.(Pre) 2012

Ans. (c)

See the explanation of the above question.

23. Who among the following was the Chairman of 14th Finance Commission?

- (a) Shanta Kumar
- (b) C. Rangarajan
- (c) Y. V. Reddy
- (d) None of the above

U.P.P.C.S. (Pre) 2016

Ans. (c)

See the explanation of the above question.

24. Who has been nominated as the chairman of the 15th Finance Commission.

- (a) N.K. Singh
- (b) Shashikant Das

- (c) Ashoka Lavasa
(d) Ratan Watal

U.P.P.S.C. (GIC) 2017

Ans. (a)

15th Finance Commission was constituted according to the provision of Article 280 by the President on 27 November, 2017.

N.K. Singh was nominated as the chairman of this commission. The tenure for the enforcement of recommendations of the 15th Finance Commission was from the year 2020 to the year 2025, but the commission submitted two reports - the first report consisted of recommendations for the financial year 2020-21 and the final with recommendations for 2021-26.

25. The Finance Commission consists of a Chairman and

- (a) Seven other member
(b) Five other members
(c) Four other members
(d) Such other members as may be decided by the President from time to time

U.P.P.C.S. (Spl) (Mains) 2008

Ans. (c)

Under Article 280(1) of the Constitution, the Finance Commission consists of 4 members other than the Chairman appointed by the President of India.

26. Who of the following shall causes every recommendation made by the Finance Commission to be laid before each House of the Parliament?

- (a) The President of India
(b) The Speaker of Lok Sabha
(c) The Prime Minister of India
(d) The Union Finance Minister

I.A.S. (Pre) 2010

Ans. (a)

Article 281 : The President shall cause every recommendation made by the finance commission to be laid before each house of the parliament.

27. Consider the following statements and select the correct answer from the code given below:

Assertion (A): State Finance Commission is a Constitutional body.

Reason (R) : Union Finance Commission cannot recommend financial assistance to Panchayats.

Code :

- (a) Both (A) and (R) are true and (R) is the correct explanation of (A)
(b) Both (A) and (R) are true, but (R) is not the correct explanation of (A).
(c) (A) is true, but (R) is false.
(d) (A) is false, but (R) is true.

U.P.P.C.S. (Pre) (Re. Exam) 2015

Ans. (c)

According to Article 243-I of the Constitution, the Governor of a State shall, as soon as may, be within one year from the commencement of the Constitution (Seventy-Third Amendment) Act, 1992 and after that at the expiration of every fifth year, constitute a Finance Commission to review the financial position of the Panchayats and to make recommendations to the Governor. Thus, the State Finance Commission is a Constitutional body. Article 280(3) (bb) of the Constitution lays down the Finance Commission to make its recommendations with respect to the Panchayats and art under Article 280(3) (c) for Municipalities "on the basis of the recommendations made by the Finance Commission of the State."

28. Which one of the following statements about a State Finance Commission is true?

- (a) It is an Informal body.
(b) It is a Constitutional body.
(c) It is an Administrative body.
(d) None of the above

U.P.P.C.S. (Pre) 2015

Ans. (b)

The State Finance Commission is a Constitutional body. It is constituted by the Governor under Article 243-I.

29. The State Finance Commission is a –

- (a) Legal body
(b) Non-statutory body
(c) Constitutional body
(d) None of the above

U.P.P.C.S. (Pre) 2016

Ans. (c)

See the explanation of the above question.